

vengeanceaiUSC-LBOMODEL1 — Assumptions List (every tab)

Ticker: GTM (ZoomInfo Technologies Inc.). Format: What / How / Why / Source.

Workbook: https://raw.githubusercontent.com/vengeanceaiUSC/Rainmaker/cursor/vengeanceaiuscldbomodel1-44dc/vengeanceaiUSC_LBOMODEL1.xlsx

Educational / research use only — not investment advice.

Tab: Coversheet

1. Model identity (B2) — vengeanceaiUSC-LBOMODEL1 — ZoomInfo (GTM)

What: Name of this LBO case.

How: Set on Coversheet and LBO!B2.

Why: Separates ZoomInfo LBOMODEL1 from the blank WSP BMC sample.

Source: https://raw.githubusercontent.com/vengeanceaiUSC/Rainmaker/cursor/vengeanceaiuscldbomodel1-44dc/vengeanceaiUSC_LBOMODEL1.xlsx

2. Units (—) — \$ millions except per share / rates / multiples

What: Unit convention for the workbook.

How: Stated on LBO!B3 / DCF!B3.

Why: Matches WSP template convention and SEC \$ presentation scaled to millions.

Source: <https://www.sec.gov/Archives/edgar/data/1794515/000179451526000012/zi-20251231.htm>

Tab: LBO

3. Company / ticker (D6/D7) — ZoomInfo Technologies Inc. / GTM

What: Target company identity.

How: Hardcoded inputs on LBO general inputs.

Why: Public GTM (legacy ZI) is the LBOMODEL1 case company.

Source: <https://www.sec.gov/Archives/edgar/data/1794515/000179451526000012/zi-20251231.htm>

4. Current share price (D8) — \$4.31

What: Spot equity price used for premium math.

How: LBO!D8 market input.

Why: Latest available GTM print used when MODEL1 was built (~2026-08-12).

Source: <https://finance.yahoo.com/quote/GTM>

5. Price date (D9) — 2026-08-12

What: As-of date for the spot price.

How: LBO!D9.

Why: Timestamps the market input for auditability.

Source: <https://finance.yahoo.com/quote/GTM>

6. Acquisition premium (H21) — 25%

What: Premium of offer price over spot.

How: Offer/sh = D8×(1+premium).

Why: Standard illustrative take-private premium; editable deal assumption.

Source: Model assumption (LBOMODEL1)

7. Offer price / share (H20) — \$5.3875

What: Implied takeover price per share.

How: D8 × 1.25.

Why: Drives equity purchase price in Uses.

Source: Model assumption + market price

8. Diluted shares (millions) (H18) — 292.312

What: Share count for equity value.

How: From latest shares outstanding.

Why: 10-Q 2026-06-30 common shares outstanding used as diluted proxy (options ladder not fully modeled).

Source: <https://www.sec.gov/cgi-bin/browse-edgar?action=getcompany&CIK=0001794515&type=10-Q>

9. Equity purchase price (D20) — \$1,574.8m

What: Cash to buy equity.

How: Offer/sh × shares.

Why: Primary Use of funds line.

Source: Derived

10. LTM EBITDA (D13) — \$314.5m

What: Entry EBITDA for leverage / multiple math.

How: FY2025 OpInc \$225.7m + D&A; \$88.8m.

Why: GAAP EBITDA proxy from latest annual 10-K (not adjusted EBITDA).

Source: <https://www.sec.gov/Archives/edgar/data/1794515/000179451526000012/zi-20251231.htm> ;

<https://data.sec.gov/api/xbrl/companyfacts/CIK0001794515.json>

11. Gross debt (D14) — -\$1,269.9m

What: Debt refinanced at close (entered as negative in template).

How: LT debt + current maturities.

Why: 10-Q 2026-06-30: LongTermDebt + LongTermDebtCurrent.

Source: <https://www.sec.gov/cgi-bin/browse-edgar?action=getcompany&CIK=0001794515&type=10-Q>

12. Cash (D15) — \$150.1m

What: Cash available at entry.

How: Cash & equivalents + short-term investments.

Why: 10-Q 2026-06-30.

Source: <https://www.sec.gov/cgi-bin/browse-edgar?action=getcompany&CIK=0001794515&type=10-Q>

13. Minimum cash (D16) — \$50.0m

What: Cash retained for ops; excess used as a Source.

How: Hardcoded policy input.

Why: Leaves liquidity post-close; excess cash = 150.1 – 50 = 100.1.

Source: Model assumption (LBOMODEL1)

14. Entry EV / LTM EBITDA (I11) — 8.57x

What: Implied entry multiple.

How: (Equity buy + debt – cash) / EBITDA.

Why: Output of offer + net debt vs LTM EBITDA.

Source: Derived from SEC + market inputs

15. Exit EV / EBITDA (D17) — 8.0x

What: Exit multiple in hold-year 5.

How: LBO!D17 policy input.

Why: Near entry; assumes modest multiple compression vs entry 8.57x.

Source: Model assumption (LBOMODEL1)

16. Term Loan A (C29/D29) — 2.5x / \$786.2m

What: New TLA quantum.

How: EBITDA × turns.

Why: Part of 5.0x new-money debt stack.

Source: Model assumption (LBOMODEL1)

17. Term Loan B (C30/D30) — 1.5x / \$471.8m

What: New TLB quantum.

How: EBITDA × turns.

Why: Part of 5.0x new-money debt stack.

Source: Model assumption (LBOMODEL1)

18. Senior Notes (C31/D31) — 1.0x / \$314.5m

What: New senior notes quantum.

How: EBITDA × turns.

Why: Completes 5.0x new debt with TLA+TLB.

Source: Model assumption (LBOMODEL1)

19. Sponsor equity (D35) — \$1,203.6m

What: Equity check (Sources plug).

How: Total Uses – excess cash – new debt.

Why: Balancing figure so Sources = Uses (\$2,876.2m).

Source: Derived

20. Transaction fee % (G36) — 2% of equity value

What: M&A; / financing fee assumption.

How: Fees \$ = 2% × equity purchase.

Why: Simple fee load for Uses; financing fee dollars also shown in fee block.

Source: Model assumption (LBOMODEL1)

21. Revenue growth (FY26–30) (F65:J65) — 4% / 5% / 5% / 4% / 3%

What: YoY revenue growth in forecast.

How: Hardcoded on growth row.

Why: Modest recovery vs FY24 dip; not a hyper-growth case.

Source: Model assumption (LBOMODEL1)

22. Gross margin (E66/F66) — FY25 82.35% → Fcst 82.85%

What: Gross profit % of sales.

How: From FY25 COGS implied by 10-K; slight +50 bps in forecast.

Why: Software gross margin structure from SEC P&L;

Source: <https://www.sec.gov/Archives/edgar/data/1794515/000179451526000012/zi-20251231.htm>

23. R&D; margin (E67/F67) — 14.57% flat in forecast

What: R&D; % of sales.

How: FY2025 R&D; / Revenue held flat.

Why: Keeps product investment while S&M; is the efficiency lever.

Source: <https://www.sec.gov/Archives/edgar/data/1794515/000179451526000012/zi-20251231.htm>

24. SG&A; margin path (F68:J68) — 47.72% → 46.22% → 44.72% → 44.22% → 44.22%

What: SG&A; (S&M;+G&A;) % of sales in forecast.

How: Compresses ~500 bps of revenue by Y3 vs FY25 49.72%.

Why: Operationalizes ZI AI-SDR thesis into the LBO P&L;

Source: LBOMODEL1 thesis + ZI_* tabs; FY25 base from

<https://www.sec.gov/Archives/edgar/data/1794515/000179451526000012/zi-20251231.htm>

25. Tax rate (C69:J69) — 21%

What: Book tax rate on EBT.

How: Flat statutory-like rate in MODEL1.

Why: Simplifies vs actual cash tax / NOL complexity.

Source: Model assumption (LBOMODEL1)

26. Sponsor MoIC / IRR (I275/J275) — ~2.97x / ~24.4%

What: Base returns at 8.0x exit.

How: Exit equity / sponsor equity; $IRR = MoIC^{(1/5)} - 1$.

Why: Illustrative; sensitive to exit multiple, leverage, and SG&A; path.

Source: Derived on LBO returns block

Tab: DCF

27. DCF reference share price (C6) — \$5.3875 (LBO offer)

What: Price shown in DCF header for football-field compare.

How: Synced to LBO offer/sh.

Why: Makes DCF tab speak the same deal price as the LBO.

Source: LBO!H20

28. Basic / diluted share count (C8) — 292.312m

What: Share count for per-share value.

How: Synced to LBO shares.

Why: Same 10-Q share count as LBO.

Source: <https://www.sec.gov/cgi-bin/browse-edgar?action=getcompany&CIK=0001794515&type=10-Q>

29. CAPM inputs (C55/C56/C57) — R_f 4.3% / β 1.20 / ERP 5.0%

What: Building blocks of cost of equity.

How: $K_e = R_f + \beta \times ERP$.

Why: Illustrative SaaS CAPM stack for DCF tab (not Yacktman-adjusted).

Source: Model assumption (LBOMODEL1)

30. Cost of debt / tax (C50/C51) — 7.0% / 21%

What: After-tax debt cost inputs.

How: $R_d \times (1 - t)$ in WACC.

Why: Rounded financing cost vs new LBO stack.

Source: Model assumption (LBOMODEL1)

31. Capital structure weights (C53/C58) — W_d 45% / W_e 55%

What: Target weights in WACC.

How: Hardcoded policy on DCF tab.

Why: Closer to PF leveraged structure than pre-deal equity-heavy weights.

Source: Model assumption (LBOMODEL1)

32. WACC (C9/C59) — ~8.53%

What: Discount rate for unlevered FCF.

How: $W_e \times K_e + W_d \times R_d \times (1 - t)$.

Why: Used for DCF PV math on this tab.

Source: Derived from CAPM + R_d assumptions

33. Exit EBITDA multiple (DCF) (J37) — 8.0x

What: Terminal multiple in exit-EBITDA approach.

How: Synced to LBO!D17.

Why: Keeps LBO and DCF exit frameworks comparable.

Source: LBO!D17

34. Perpetuity g (C37) — 0% in template cell (sensitivity uses 2–4%)

What: Long-term growth in Gordon approach.

How: Template default; grid varies g.

Why: Football-field sensitivity still shows 2–4% g range.

Source: WSP template convention + MODEL1 note

35. Cash-flow timing (C31) — Middle of period

What: Mid-year discounting convention.

How: Midperiod adjustment factor on DCF tab.

Why: Standard IB mid-year convention for annual FCFs.

Source: WSP template

Tab: Shares

36. Offer price for dilution (E5/E6) — \$5.3875

What: Price used in treasury-stock method.

How: Synced to LBO offer.

Why: Aligns diluted-share math with deal price.

Source: LBO!H20

37. Basic & net diluted shares (E7/E14) — 292.312m / 292.312m

What: Share count used for equity value.

How: Outstanding shares; options set to 0 in MODEL1.

Why: 10-Q share count; detailed options ladder not loaded (net dilutive options = 0).

Source: <https://www.sec.gov/cgi-bin/browse-edgar?action=getcompany&CIK=0001794515&type=10-Q>

38. Options / other dilutives (E8:E11) — 0

What: Incremental dilutive securities.

How: Cleared BMC ladder; set to zero pending full award rollforward.

Why: Conservative vs overstating dilution without a current award table.

Source: Model assumption (LBOMODEL1) — update from proxy/10-K award note when refined

Tab: 52wkHL

39. 52-week high / low (E4/E5) — Legacy sample tape (not GTM)

What: Market range for football-field.

How: Still WSP BMC sample series in MODEL1.

Why: Not yet replaced with GTM price history; LBO uses spot \$4.31 instead.

Source: WSP sample residual — replace with GTM tape in MODEL2+

Tab: ZI_01_10K_Source

40. FY2025 Revenue (E5) — \$1,249.5m

What: Annual revenue anchor.

How: XBRL RevenueFromContractWithCustomerExcludingAssessedTax.

Why: Latest annual 10-K fact.

Source: <https://www.sec.gov/Archives/edgar/data/1794515/000179451526000012/zi-20251231.htm> ;
<https://data.sec.gov/api/xbrl/companyfacts/CIK0001794515.json>

41. FY2025 Selling & Marketing (E6) — \$414.6m

What: S&M; expense (the bloat line).

How: XBRL SellingAndMarketingExpense.

Why: 33.2% of FY25 revenue — thesis starting point.

Source: <https://data.sec.gov/api/xbrl/companyfacts/CIK0001794515.json>

42. OpInc / D&A; / EBITDA proxy (E10/E13/E20) — \$225.7 / \$88.8 / \$314.5m

What: Operating income, D&A;, EBITDA proxy.

How: OpInc + OtherDepreciationAndAmortization.

Why: Bridges to LBO!D13 LTM EBITDA.

Source: <https://data.sec.gov/api/xbrl/companyfacts/CIK0001794515.json>

43. S&M; employees (E28) — 1,370

What: Headcount in sales & marketing.

How: 10-K Human Capital disclosure (3,180 total).

Why: Denominator for SDR % assumption.

Source: <https://www.sec.gov/Archives/edgar/data/1794515/000179451526000012/zi-20251231.htm>

Tab: ZI_02_SM_Isolation

44. Target mature SaaS S&M; % rev (C16) — 22%

What: Benchmark efficient S&M; intensity.

How: Yellow input vs FY25 33.2%.

Why: Defines "bloat" dollars vs a mature SaaS target.

Source: Model assumption (LBOMODEL1)

Tab: ZI_03_Headcount_AI

45. % of S&M; that are outbound SDR/BDR (C6) — 40%

What: Share of S&M; headcount treated as AI-replaceable SDRs.

How: Yellow input $\times$ 1,370.

Why: 10-K does not disclose SDR count — explicit model assumption.

Source: Model assumption (LBOMODEL1)

46. Fully loaded cost / SDR / yr (C8) — \$155k

What: Cash cost per outbound SDR.

How: Yellow input.

Why: Below blended residual S&M; \$/employee (commissions/ads stay).

Source: Model assumption (LBOMODEL1)

47. AI seat / oversight cost (C13/C15) — \$15k per seat; \$150k per oversight FTE

What: Replacement opex for AI agents + humans.

How: Yellow inputs; 1 oversight FTE / 20 seats.

Why: Net savings must clear AI + oversight to hit margin target.

Source: Model assumption (LBOMODEL1)

48. Cumulative % SDRs replaced (C21:E21) — 45% / 80% / 95% (2026–28)

What: Headcount reduction schedule.

How: Yellow cumulative exit fractions.

Why: Phased cut to avoid one-year cliff risk.

Source: Model assumption (LBOMODEL1)

49. Severance / AI build (C16/C17) — \$25k per SDR; \$8m Y1 build

What: One-time costs.

How: Yellow inputs in P&L; impact.

Why: Hits in-year EBITDA but excluded from run-rate bps.

Source: Model assumption (LBOMODEL1)

Tab: ZI_04_EBITDA_Bridge

50. Target margin expansion (C7) — 500 bps

What: Minimum success hurdle for the AI program.

How: Yellow input; YES/NO vs run-rate bps.

Why: equates to ~\$62.5m EBITDA on \$1,249.5m revenue.

Source: User thesis requirement

Tab: ZI_05_Sensitivity

51. Sensitivity grid (B12:H17) — Replace-% $\times$ AI \$/seat $\rightarrow$ bps

What: Y3 run-rate bps under alternate AI costs / cut depths.

How: Algebra on SDR0 & unit costs.

Why: Shows what it takes to stay above 500 bps if AI is more expensive.

Source: Derived from ZI_03 inputs